*MATTEO MUSCAS*

# The
# No Gaming Zone.

*4642 words.*

*Matteo Muscas, Journalist, Press B to Skip*

*[Muscas is in his late twenties. He is sitting on an armchair in front of a TV holding an Xbox 360 controller. On the TV screen is a shooting game on pause.]*

I can't imagine my life without video games. I grew up with them, and when I was a teenager, I was close to becoming a pro-gamer. That means I used to play a lot. At the age of five I beat my first game, *Super Mario Bros.* on *NES*. Oh, *NES* - what a magnificent system! Nintendo released thousands of games and had a strong rivalry with its direct competitor, the *Master System*, released by SEGA. But before them, the mother of all home consoles, the *Atari 2600*, released in 1977, obtained global success and made Atari a fortune.

In the early 80s, everyone wanted to have a slice of pixelated cake.

*[He unpauses the game and turns toward the TV, as the camera slowly zooms into the picture on the screen.]*

Press B to Skip

*presents*

A Colour of Runaway Dog Studios Production

**THE NO GAMING ZONE**

***(THE RISE AND FALL OF THE ATARI ERA)***

*Jeff Bleszinski, Shop Owner, Bleszinski Electronics*

Yes, we had a massive boost in sales. We had to move the shelves to make room for video games, which at the time made us feel like some sort of space pioneers. I mean, we specialized in selling blenders and ovens, and all of a sudden we got flooded by video game cartridges. It was cool. Sales were good, customers were happy. The idea back then was that you could only buy video games in supermarkets, and choice at *Wal-Mart* or *Best-Buy* was limited. I thought the market was growing. My son was crazy for computers and video games so for me it was kind of a natural business move to shelve all these games. You know, I had the knowledge, right?

*Andrew Pollack, Journalist, The New York Times*

In the mid-70s Atari was a wreck. It was the typical Californian software house. They didn't have a plan; it was comprised mostly of programmers who loved to play video games and smoke pot and who one day decided to build up a company. It has to be said though, they certainly overcame their own expectations, in fact Warner Communication bought them in 1976 following the scent of money the industry was offering. *Pong* was a massive seller, and people started realizing that they could have the same arcade experience in the comfort of their own homes by buying a console. Warner was aware of that too, and this made them decide to pay around $30 million for Atari.

*Abe Kennedy, Atari programmer*

Working at Atari was wild. It made me feel like I was on top of the world. It was a mixture of everything cool at the time. We were making art, after all. Living in the West Coast gave you a boost you couldn't possibly have elsewhere. Once I remember spending five hours with Ray Kassar in his office reading him my poems. And it wasn't only me. There was a general level of artistic involvement that made us feel part of a bigger picture. Plus, at that time we were making big money in spite of the poor organizational skills we had. *[laughs]*

*Ray Kassar, Atari President and CEO, 1978-1983*

I didn't know anything about video games. Before I started at Atari I was in the textile industry. I had no interest at all in the video game industry. A friend of mine who was at Warner Communication recommended me for the job and he insisted I met one of Warner's presidents, Manny Gerard. We had a long meeting, and after four hours I said I would accept under certain conditions. They accepted them all and, in spite of never having played a video game before, I started.

*Nolan Bushnell, Atari founder and Co-President*

We rented our first office from a candle company owned by a hippie commune. I believe this says much about the philosophy behind Atari. We were there because we loved our job. Some of our programmers would come in to work at midnight, leave by 7 in the morning and show back up again at 4 in the afternoon. It was perfectly fine by us because as long as we had the work done and met the quality standards nobody would have had any complaints.

Of course we were worried about having Kassar. The personification of the businessman. One of those white-collar sharks we had to cohabit with because Warner wanted.

I remember one time during a management meeting when he got mad after I offered him a joint.

*Ray Kassar, Atari President and CEO, 1978-1983*

I like Bushnell, you know. I have nothing against him personally. He's a charming guy, very bright guy, very capable and, after all, he started the whole thing; I didn't. When I got there it was a mess and they were losing money. When I got there the company was doing about $75 million a year, losing about $15 million. Within three years we were $3 billion in

sales, and we were the fastest-growing company in the world at that time. So that's not too bad.

*Matteo Muscas, Journalist, Press B to Skip*

Atari had made fantastic titles between the mid-70s and the beginning of the 80s. It became a pioneer of the industry of video games and showed the world that cool video games didn't necessarily have to be played at the arcades. You could have just the same experience in the comfort of your home. Probably the best thing about them is that they believed in what they were doing. And everything they went through reflects a philosophy, a do-it-yourself style driven mostly by passion rather than by mere business speculation. Yes, they clearly also wanted to make a living out of it, but hey, why not? We all like money!

But that led to a problem. Atari decided to get serious with its business and was acquired by Warner Corp. All of a sudden, a bunch of business-impaired hippies found themselves trapped in a multi-million money-making machine. Ray Kassar's task wasn't easy: Get the folks at Atari down to work.

*Ray Kassar, Atari President and CEO, 1978-1983*

I had been hired to try and bring some much needed management discipline to Atari. The company had a huge need for proper management. It had no infrastructure. There was no chief financial officer; there was no manufacturing person, no human resources. There was nothing. The company was totally dysfunctional. I really had no idea what I signed up for when I first started. Saying I was shocked is a complete understatement. To give you an example, when I arrived there on the first day, I was dressed in a business suit and a tie and I met Nolan Bushnell. He had a T-shirt on. The T-shirt said: "I love to fuck." That was my introduction to Atari.

*Nancy Merrill, TV Host, People are Talking, 1982*

*[Clip from an old American talk show. Applause. Merrill, sitting on a couch, announces her guest for the afternoon.]*

Welcome to *People Are Talking* this afternoon.

Well, our guest this afternoon has been called the P.T. Barnum of Silicon Valley and widely acknowledged as the Father of the Video Game industry. He created *Pong* and 35 other video games while chairman of Atari. He also is the founder of *Pizza Time*, and if that wasn't enough, he's working on personal home robots. As a matter of fact, you'll see him at work with us this afternoon at *People Are Talking*, but first please welcome creative genius Nolan Bushnell!

*[Bushnell makes his way into the set. A round of applause greets him. He smiles and waves at the camera while walking towards his seat.*

*A caption reads "Nolan Bushnell, Inventor Extraordinaire"]*

*[End of the clip]*

*Andrew Pollack, Journalist, The New York Times*

The original company's name was Syzygy. Bushnell got that out of a dictionary and he thought it was cool. Of course nobody could pronounce it or spell it - they were calling it Suzuchi, or Suzuki, and for some reason he thought that this was great - but when they went to incorporate it they found it was already taken... by, a... candle company in Missouri, so they had to choose something else.

Atari was on the list and they got the name from the game of Go. It's a Japanese game, and when you're about to take a group of your opponent stones you would say "Atari!" Right there it was a very aggressive name for a company.

*Nolan Bushnell, Atari founder and Co-President*

My very first experience with electronic games, if you were to consider them as video games, was at the University of Utah. At the time there were five places in the whole world with video screens connected to a computer. The University of Utah happened to be one.

To put this in context, the idea that this may have a broader appeal was really because I was managing the games department at the amusement park during summers, and it was very easy to see that the things that you'd being doing with the computer was so much better than what you could do at the arcades. I mean, I can remember one arcade game that had nothing more than a rolling carpet with a little skier on a couple of rods and I mean, it was making big money, so... you know, I said "Hey, I can do better than that!"

Syzygy started in my daughter's bedroom. I had to move my daughters together in the same room and use one as my office.

The first video game that I made was a game called *Computer Space*, which was loosely patterned after a game Steve Russell did on the PDP10 at the M.I.T., and hmmm, it was a flying saucer moving through rocks, and, you know, it was cool, all my friends loved it. All my friends were engineers.

We were… I considered Atari to be a little social experiment. It was very, very interesting.

It was the early 70s in California. There were lots of hippies around, and rock music, and we were very young. We were a company, but we didn't act like one. We had parties and things like that. I loved it. When we went to get health insurance the guy had never seen such a young demographic. I was 29 at the time. Al Alcorn was 27. I think the oldest guy we had was 38, and most of our line workers were between 17 and 20 years old.

So we managed to get eye care, and prescriptions, and glasses for virtually nothing, because nobody needed it. But they made a huge mistake because they put in orthodontia and given all the teenagers working for us at the time in two weeks we had half of our staff queuing up to put braces on and get their teeth straightened!

People asked me 'Did you ever think it was going to be this big?' and it was difficult to quantify what 'big' was in those days. Yes, we were doing millions of dollars in sales and that sort of stuff, but in reality we didn't have any other reference. Atari was able to attract the best of the brightest, and when you get in a room with some of those guys, and all the

synapsis connect… there was this kind of electricity in the air. Going out to find the best of the brightest and being able to bring them in was incredibly intense. You know, at that time in the Silicon Valley everyone was going after the bare cubicle, with this humanly detached approach… and we didn't put up an office. We had bathtubs and this sort of thing. I can remember driving in one morning into the parking lot, and we had this parking lot and it was completely full, with cars parked in two sides. I thought to myself 'You know, games are indirectly paying for all these cars'. And somehow, the physical actuality of those cars and knowing how much they cost... and there were so many of 'em... that was kind of... it was kind of a defining moment. I said 'Wow! Wow, I created a monster here!'

*Ray Kassar, Atari President and CEO, 1978-1983*

Atari grew without venture capital at all. They didn't have any serious financial plan until the day I took over. It was astonishing that they survived for so long. Atari was making $40 million in sales and it was constantly out of money. Nobody had a clear idea of how to sort things out, collect money, and pay up. It was literally a sweat at every payroll when I started. The system worked in a very primitive way. Nolan used to do the math and say 'Do we have enough money to pay everyone?' And when the answer was no – and believe me, the answer was always 'No,' – he picked up the phone and called people who owed him money.

*Matteo Muscas, Journalist, Press B to Skip*

In 1976, when Bushnell sold Atari to Warner, the company was growing exponentially. Arcades sprung up like bars after prohibition. Manny Gerard, president of Warner, decided to put Ray Kassar in the driver's seat, relegating Bushnell to vice-chairman.

*[In fast sequence, extracts from old interviews with former Atari employees. No names appear on screen.]*

Well, he surely took some important decisions. Like, for instance, he changed the furniture in the whole building.

I would say he felt more like an emperor than a CEO. His idea of running a company was to lock himself up in his office and make phone calls.

It would be unfair to just make him appear as the bad guy. Yes, he was a corporate shark, no doubt about it, but he was smart. He had tremendous organizational skills, and he worked long hours.

I remember we used to call him *'The Emperor'* when he wasn't around. At that time, Kassar was the parent who forced us to do our homework. We didn't work like that. We pulled our weight, but not in the corporate way he had in his mind.

*Ray Kassar, Atari President and CEO, 1978-1983*

I was 50 when I first started working at Atari. I finished my MBA at Harvard and started my career at Burlington Industries. Clearly it was a completely different business, it was a textile company, but it was a good training camp. I had worked at Burlington for more than twenty years and I don't regret a single day I spent there. I can't say the same for Atari, no.

When Manny Gerard contacted me, I had my own company. I started a company that made long staple cotton shirts in Egypt. They felt like silk. I labeled them "Kassar". Yes, yes. It was a textile company too. But I was confident I could apply the same rules to a video game company. After all, business is business everywhere.

I started at Atari after Warner bought it. It was the most chaotic and most unorganized company in the world. I had no idea how they could still be in business, it was just absurd.

Well yes, I can say there was some friction with Bushnell, it was something that neither of us could avoid. If you think about it, I took his toy away and he had to report to somebody who wasn't him. Of course he didn't like it. On the other hand though, nobody

forced him to sell the company. He could have kept it. And it would have sunk. Believe me, it would have sunk faster than a piece of lead in the ocean.

I know some people mocked me, saying the biggest improvement I had done was change the furniture in the office. Atari was a place full of tech-hippies, and yet there would have been terrified reactions whenever I'd move a pencil. No wonder people still remember I bought new furniture. All I wanted was to make the office more functional.

*Matteo Muscas, Journalist, Press B to Skip*

*Call of Duty* is an annual franchise for the video game industry. In the last six years, the title has been the world's best-selling. It generates a massive profit. Bigger than Hollywood. To put it in numbers, the latest installment in the franchise, *Call of Duty: Black Ops 2*, sold 600,000 copies on its release day. It is one of the most successful game franchises of all times, and, by far, the best-selling product created by its developer Activision. Ironically though, *Call of Duty* would have never existed without Ray Kassar, mainly because Activision itself wouldn't have been created.

*[Clip from the Activision's* Call of Duty: Modern Warfare 3 *press kit. On screen, footage from trailer and the gameplay. Off camera, Eric Hirshberg, Activision CEO discusses the title.]*

I think *Modern Warfare 3* is going to be the biggest and best *Call of Duty* game yet. It's an incredibly white knuckle rollercoaster ride, it's this epic showdown between our iconic main characters, we have the best refined multi-player experience one can dream of. It's an easy game to get into, but it's a hard game to master.

*[End of the clip]*

*David Crane, Activision Co-founder*

The situation was just becoming unsustainable, you know. We were the ones who did all the work, we were the products. We had the ideas, we took care of the concept, development, of polishing the games. We were the ones who spent the sleepless nights. Certainly not Kassar. By 5.01pm he was already driving in his car. He was the puppet behind Warner, collecting the money and stacking it up in their banks.

There was me, Larry Kaplan, Bob Whitehead and Alan Miller. We all started working at Atari in our early twenties. Bushnell used to call us “the best of the brightest”. He was right. We were *[laughs].*

*Bob Whitehead, Activision Co-founder*

At Atari we created some of the most iconic games ever made by human kind. It was cool, the environment was lively, and everyone used to have fun working there. I surely did. When Kassar took over, the company started making seeeeerious money, and we asked for recognition. Manny Gerard, at Warner, and especially Kassar, couldn’t care less about us. He called us “towel designers”. While they were getting rich, we were treated like code-monkeys. We were tired of it, so the four of us met with Kassar. We wanted recognition, in-game credits and our names on the boxes. His reply was that “anyone can do a cartridge”. Yeah? Is that so? Then go ahead and do it yourself, we said. We quit and founded Activision. It was exciting. And terrifying.

*Matteo Muscas, Journalist, Press B to Skip*

Activision was the world’s first third party company. Up to that moment, companies made all their hardware and software, and when Activision started developing and selling games for the Atari 2600, it opened Pandora’s box. Software companies sprung up like mushrooms and Atari had no control and no earnings over them. On top of that, in just a few months Atari lost all of its best developers, who could suddenly get the recognition they deserved.

*Ernest Cline, author of “Ready, Player One?”*

When I was a child, my favorite was called *Adventure*, developed for the *Atari 2600* by Warren Robinett? How do I know his name? Well, everyone back in those days knew Robinett's name, because he, in fact, created the first Easter egg in the history of video games. Games used to be programmed by just one person, but back then, Atari didn't want to give credit to the authors for their work, so the name of whoever wrote the title didn't actually appear anywhere. Robinett hid a key in Adventure that, if found, could open a secret room where the words "CREATED BY WARREN ROBINETT" appear in the center of the screen. Obviously he didn't tell anyone about it and Atari manufactured and shipped the game the way it was. After a few months, kids all over the world began to discover the Easter egg. Finding the secret room was one of those feeling, as a child, that made me feel cool, and brave, and important. I consider *Adventure* as one of best gaming experiences of my life.

*Howard Scott Warshaw, Atari programmer*

I designed some of the best games Atari ever made. For *The Raiders of the Lost Ark* we won awards after awards, reviews were great and the public response fantastic. I loved it. No, I obviously don't like being remembered for *E.T.* There is only so much responsibility I can take. It really wasn't my fault.

Warner had the digital rights for *E.T. the Extraterrestrial* and they wanted to make a game out of it. No problem, we said. Then Kassar said, "We need to have it ready in five months, Gerard wants it on the shelves before Christmas." I replied, "There is no way on God's green earth we can make it." His response was that he wasn't actually asking. We had to do it, period.

Now, if you know a little about video game development, you will know that it takes no less than a year from the initial concept to the final product. You know, you design it, review it, test, re-design, re-review it, re-test it and so on until you can go ahead and start

printing the cartridges – and by the way, at that time, printing cartridges was a time consuming step.

Kassar left us with no time at all. This is what happens when you work in a company run by sharks. Anyways, my team and I started designing day and night, but given the time we couldn't review anything at all. "Is the plot ready? Yes? Bam! Let's move on. Does this level work? Not really? Well, let's move on anyway."

We finished the game on time. I remember those months as ridiculously stressful, but we did finish the game on time. I went ahead and warned Kassar about it, I told him we were in front of a very poor quality game, that people wouldn't buy it, that we needed more time. None of this mattered. The game was released with the consequences we all know.

*Andrew Pollack, Journalist, The New York Times*

*E.T.* is considered the worst game of all time. Atari released the game, as they planned, right on time for the holiday season, going one step forward by producing twice as many cartridges than the consoles they sold. They were probably expecting each of their customers to buy two copies.

*Jeff Bleszinski, Shop Owner, Bleszinski Electronics*

We… uhmm… I bought a batch of *E.T.* cartridges, yes, and ordered some more. Sales were decent, at first, but then I had tons of returns and I cancelled my order. I know of some other retailers that did the same. Well, the game is crap, what'd you expect? *[Laughs]*

*Andrew Pollack, Journalist, The New York Times*

The game sold 1.5 billion copies. It would have been impressive, in spite of the quality of the product. Unfortunately though, they had 3.5 billion copies left unsold. A huge loss for Warner. Rumor has it that all the unsold cartridges ended up dumped somewhere in the

desert in New Mexico. This was probably the step that started the beginning of the end of the Atari era.

*[Extract from a street interview with a teenager outside a shop]*

No, I'm not buying an *Atari 2600*.
Because it's not worth it, sir! On Atari you can only play Atari games!
I'm buying a *Colecovision*. Look, there is this cool add-on, you plug it in and you can play Atari games and Coleco as well. That's rad! Plus, cartridges cost less.

*Matteo Muscas, Journalist, Press B to Skip*

*[Muscas is sitting in front of an Xbox 360 console, trying goofily to fit an old Atari cartridge in the DVD slot. After failing, he throws away the game and grabs two copies of* Call of Duty*, one for Xbox 360, the other for Playstation 3].*

If I tried to put my *PS3* copy of *Call of Duty* in my Xbox, a message would pop up on the TV, telling me that no, I can't play *PS3* games on an *Xbox*. But back in those days it didn't work that way. You could play Atari games on other consoles because there was no legislation, no anti-piracy protection, and copyright laws were too shady for electronic products. In less than a year Kassar found himself dealing with dozens of clones of his machine, not earning a single penny out of them. By the end of 1982, everyone jumped on the video games bandwagon. Cereal companies would put their original creations in the boxes; you could even buy pizza and get a video game for free. The result? The market became over saturated. The supply was too much compared to the demand, so retailers slashed the prices, trying to keep up with the sales. Everyone was producing and nobody actually making money. The situation seemed to be hopeless – it was – and the market crashed catastrophically.

Kassar, who clearly didn't learn the *E.T.* lesson, made the same mistake with the release of *Ms. Pac-Man*. This time around the game was decently planned and well developed, so Atari felt confident enough to produce a humungous number of cartridges,

again more than the consoles they had actually sold, and, in spite of having a successful product on their hands, they ended up with a warehouse full of unsold games.
It was all the money Atari could afford to lose. The company went broke and had to file for bankruptcy.

*Ray Kassar, Atari President and CEO, 1978-1983*

No, I don't regret my choices. We were pioneers, I did all that I could to run the company at its best, and for several years Atari made more money than it could have ever made in a century without me. Companies go out of business, it's the nature of the economy. The same principles apply to all kind of human activities, so no. I don't regret anything.

*Matteo Muscas, Journalist, Press B to Skip*

Games are an amazing mix of pure art and technological progress. For those who care to play, the offer is limitless, like creativity. You can be the best footballer in the world, or save our planet from an alien invasion, or save a princess who always happens to be in another castle. For those who care to play, the prizes are genuine joy, fear, excitement; adrenaline rushes and nights in with friends. It's the contrast between a long series of ones and zeros and the whole spectrum of human emotions.

Atari has been the father of all this. Its contribution to what the industry is now is priceless.

Creating video games has never been as easy as it is now, and in this new techie renaissance, it's good to remember where it all started. Good night.

*[Lights on studio slowly fade to black]*

*Nolan Bushnell, Atari founder and Co-President*

Everyone who's ever taken a shower has an idea. It's the person who gets out of the shower, dries off and does something about it who makes a difference. The critical

ingredient is getting off your butt and doing something. It's as simple as that. A lot of people have ideas, but there are few who decide to do something about them now. Not tomorrow. Not next week. But today. The true entrepreneur is a doer, not a dreamer.
The ultimate inspiration is the deadline.

*[Titles]*